

4.3.3 GLOBAL MARKETING

1) MARKETING

GLOBAL MARKETING STRATEGY

- **Marketing strategy** is a set of plans that aims to achieve a specific objective.
- **Global marketing** involves the planning, producing, placing and promoting of a business in a world-wide marketing.

The first theory is that there are two approaches to marketing (4Ps) in a global marketplace. These are:



Global Marketing



Glocalisation

Global marketing strategy

- A global marketing strategy means that a business doesn't differentiate its products or marketing between countries.
- The same product is sold in many countries with some fine tuning of the product price, promotion etc. example, coca cola

Global brands

- A global brand views the world as a global marketplace and creates products that will suit a world audience
- Microsoft is the ideal global product, all it needs to do is adapt the languages, adjust the cost for the region and fine tune the marketing to suit the area

Global marketing decisions

- In global marketing the promotional message may be the same all over the world leading to reduced average marketing costs, economies of scale
- The only differences might be that sales incentives may vary in different countries

Advantages to global marketing

- Economies of scale can be achieved in both production and distribution
- This will mean lower than average marketing costs
- Power in the market as the brand is known
- Consistency in brand image
- Ability to leverage good ideas quickly and efficiently
- Uniformity of marketing practices

Disadvantages to global marketing

- Differences in consumer needs, wants and usage patterns for products
- Differences in consumer response to marketing mix elements.
- Differences in brand and product development and the competitive environment
- Differences in the legal environment, some of which may conflict with those of the market

GLOCALISATION

Global localisation (Glocalisation) ; It involves adapting to local expectations in order for a business to succeed in an international market. Businesses should be sensitive to the specific preferences of different markets in which they want to operate.

Glocalisation is a combination of the words 'globalisation' and 'localisation' and is used to describe products and services that are both developed and sold to global customers but designed so that they suit the needs of local markets.

A business needs to think global but act local if they are following this strategy

Glocalisation and the local market

- Glocalisation businesses are aware of the importance of combining relevant, transferrable products with the heritage and authenticity of local identities
- Products or services are designed to benefit a local market while at the same time being developed and distributed on a global level.

Different Marketing Approaches

**LE PETIT
McBAGUETTE™**



Polycentric



Ethnocentric



Geocentric

The decision whether products sold in a new international market should be adapted or standardised.

To what extent can a MNC design and market a truly global product.

1. **Polycentric** – adapt to each market to appeal to local customers to maximise revenue
2. **Ethnocentric** – standardise the product for all markets to keep costs low
3. **Geocentric** – a mixture of the two

Ethnocentric (domestic) approach;

- A business which believes that a success story in one country can translate to all other countries in which it operates
- Foreign operations are subordinate to domestic markets
- Products sold without adaptation
- *Ethnocentrism* is the belief of superiority is one's personal ethnic group

ADVANTAGES

- Economies of scale.
- No development costs.

DISADVANTAGES

- Product may not sell well in other markets.
- Doesn't take into account cultural differences.

Polycentric (international) approach;

The international approach is the polycentric model – adapting the marketing mix to maximise sales in different countries. Each host country is unique. Each subsidiary business in each country should develop its own marketing strategy

ADVANTAGES

- Easier to gain acceptance into new markets.
- Possible to reduce advertising and promotion costs once the new market has accepted the product. (higher sales)

DISADVANTAGES

- Development costs raise which increase risk.
- Difficult to compete with established local brands.

Geocentric (mixed) approach; Businesses use a combination of ethnocentric and polycentric marketing approaches. This geocentric 'glocalization' is used by many multinational corporations.

Business can have some of the advantages of a standardised global approach to get economies of scale but cater for needs of individual markets to maximise sales

Branding may be done on a global basis

The business has a world wide approach to marketing and its operations become global

A global MNC will have manufacturing and processing facilities around the world to serve the various regional and national markets through a complicated but well co-ordinated system of distribution networks

ADVANTAGES

- Helps maintain and promote global brand name.
- Tailor products to local markets. (higher sales)

DISADVANTAGES

- Development costs will be high.

APPLICATION AND ADAPTION OF THE MARKETING MIX (4Ps) TO GLOBAL MARKETS

- **Price;** Decisions around price need to consider local factors such as income, taxes, rent and other costs.
- **Product;** Businesses can use different approaches in order to adapt their products to the global markets.
- **Promotion;** Businesses should be conscious of language differences. Marketers should know the values, beliefs, perceptions, legal, sociocultural aspects of the foreign environments.
- **Place;** Businesses should take into account how locals buy their products.

APPLICATION OF ANSOFF'S MATRIX TO GLOBAL MARKETING DECISIONS

Market Penetration;

- This exist where a business adapts products for markets in which it already operates.
- Market penetration on a global basis means selling more products to existing customers
- Marketing teams may look to see if frequency of use or purchase can be increased
- This is a very low risk strategy as the customers are already very loyal
- Promotions play a large part in this e.g. MCD Happy meals / Monopoly games / holiday and festival promotions such as Halloween

Market Development;

- It involves the marketing of existing product in a new market, It require slight modification to be made to new markets.
- Market development means taking products that already exist and finding new global markets for them
- This may mean moving into countries that have had trade liberalisation
- This may also mean the business has to find suitable alternative markets for the products

Product development;

- This is where a business promotes new or modifies products in existing markets.
- New product development in marketing can be critical to keep customers buying more – think about your iPhone is it an iPhone 4? No???

- This strategy may be used to replace the normal product with a better one, or to develop and sell a complementary product that needs to be sold along side the main one (coffee pods for coffee machines)

Diversification;

- This occurs when new products are developed for entirely new markets.
- Diversification is the most risky of the four strategies as it means providing new products for new markets
- A business will do this in an attempt to move away from shrinking markets and into new more attractive markets
- A business may look at other markets where it can use its core competencies e.g. Swatch made plastic watches – so then came up with the plastics for the smart

Ansoff's Matrix		
	Existing Product or Service	New Product or Service
Existing market	<u>1 Market Penetration (Low risk)</u> Increase sales to the existing market, or penetrate it more deeply	<u>2 Product or Service Development (moderate risk)</u> New product or service developed for existing market
New Market	<u>3 Market Development (moderate risk)</u> Existing product or service sold to new market	<u>4 Diversification (high risk)</u> New product or service sold in new markets (new to the company):

APPLICATION OF PORTER'S STRATEGIC MATRIX TO GLOBAL MARKETING DECISIONS

- **Cost leadership;** When a business attempts to be the lowest cost supplier in the market.
- **Differentiation;** When a business successfully distinguishes its products from those of rivals in a mass market.
- **Focus;** It involves a business targeting a narrow range of customers in one of two ways.

(In some cases firms may be able to transfer the competitive advantage it has in the domestic market to the global market.)

NICHE MARKETS

Global niche markets; A niche market is a small specialised market which caters for a particular product or service. For example: Harley Davidson motorbikes and Rolex watches.

CULTURAL DIVERSITY

- Having cultural sensitivity, means understanding that people all over the world have different interests and values
- For example, Thursday 22nd November 2018 is thanksgiving in the USA and Canada so many businesses will be closed on that day (Fourth Thursday in November so the date changes)
- Some of them include:
 - Language
 - Hobbies and interests
 - Economic development
 - Religious norms
 - Social norms
 - Legal system
 - Weather and climate
 - History and traditions

International business communication

Having a sensitivity to cultural diversity in communication is the key to smooth international business

For example a business greeting in Japan would be a bow – with different degrees having different meanings

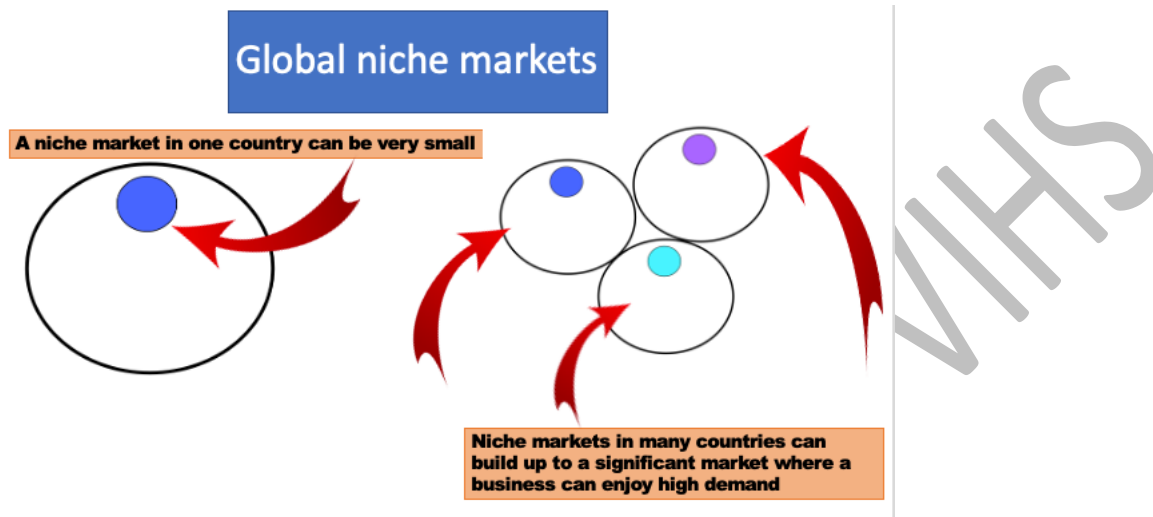
In Western cultures the more familiar business greeting would be a firm handshake

Cultural differences

- The greeting rituals are very important in international business, getting it right can set the tone for the whole negotiation
- For example in Brazil it is traditional for business colleagues to kiss when they see each other – can you imagine this in other countries?

Cultural diversity

- The phrase 'Cultural Diversity' means a range of different societies or people of different origins, religions and traditions all living and interacting together.
- In Britain today there is an estimated 'ethnic minority' population of just over 4 million



GLOBAL NICHE MARKETS

- All businesses have fixed costs, in a niche business the fixed costs are higher
- If the business is selling in a niche then why not sell to this niche across the world and reduce the average costs and spread the fixed costs over more units sold

Global niche example Harley Davidson

- Harley Davidson Motor Cycles sell a way of life and not just a motorbike
- The customers for Harleys are a subculture in that they are united for their love of the product and the lifestyle it projects
- The product is made in the USA and 38% of their sales are in International markets
- Now over 1million people around the world own a Harley “ bound by the passion to ride”

Features of Global niche markets

- Economies of scale (to some extent)
- Limited competition
- Premium pricing an emphasis on quality focus on profit
- Brand loyalty

Advantages of selling in a global market niche

- There is less competition and greater customer loyalty in niche markets.
- Prices are likely to be higher and therefore profits may be greater.
- Risk may be reduced
- Specialist products reduce PED and premium prices may be possible

Disadvantages of selling in a global market niche

- Some of the possible global economies of scale may not be achievable as each market will need individual attention
- Co-ordination and communications may be more difficult across differing brands and markets
- Some products may require unique ingredients or production techniques reducing the scope for economies of scale

APPLICATION AND ADAPTION OF THE MARKETING MIX TO SUIT GLOBAL NICHES

Product;

- Global niche products often place an emphasis on quality.
- Products that succeed in global markets are usually at the premium end of the market
- A prime example is supercars which appeal to only a small subset of a country's population, but bought by customers in many countries
- Every year the streets of London are full of supercars owned by millionaire Arabs who pay around £20,000 to have them shipped to the UK for their summer holidays

Price;

- The point of niche marketing is to charge higher prices for products that are not intended for the mass market.
- Global niche markets provide an opportunity for businesses to charge premium prices as the products tend to be more unique
- It depends on customer perception, as they will pay what they perceive the product to be worth not its actual value in terms of raw materials e.g. [Rolex](#) watch or a Bugatti car

Place; (distribution)

- Networks of exclusive dealers are a common method of selling products to global customers.
- Niche products can reach a global audience easily through websites
- Alternatively agents may be used in other countries apart from the host country e.g. Bentley showroom in Dubai which includes a VIP area
- The product is made in Crewe in the UK, but sold all over the world to a niche market that can afford the luxury cars

Promotion;

- Strategies to promote products to global niches are often based around the brand name, this reinforces the exclusivity of the brand and need to be more targeted.
- Promotion is just the communication aspect of the entire marketing function.
- In a global niche market the promotion may be more targeted and subtle than in a mass market
- The promotional message must be able to reach across cultures
- Brands have to be careful not to devalue the brand image by discounting

CULTURAL/SOCIAL FACTORS

Cultural factors include; Beliefs, moral values, traditions, language, laws held by a country

Social factors include; lifestyle, religion(s), economic wealth, family structures, education, and political systems held by a country

CULTURAL AND SOCIAL FACTORS AFFECTING GLOBAL MARKETING

- **Cultural and social factors** are the beliefs and practices, customs, traditions and behaviors of all those people who belong to a specific culture.
- In order to market effectively in other countries businesses must overcome ethnocentrism.
- Each culture has its own set of values, which are quite different from those values held in other cultures. Due to this what is proper in one country may not be proper in another country.

CULTURAL DIFFERENCES

- It is crucial for a business to know the cultural sensitivity in other countries. As failing to understand the differences may cause offence and cause the business to lose a deal.

High Context/Low Context countries

High Context Communication Needs:

- Establish social trust first
- Value personal relations and good will
- Agreement by general trust
- Negotiations slow and ritualistic

Low Context Communication Needs:

- Get down to business first
- Value expertise and performance
- Agreement by specific, legalistic contract
- Negotiations efficient as possible



DIFFERENT TASTES AND PREFERENCES

Depending on the product and the country, there may be the need for more or fewer adaptations. For example a company operating in USA will have to make more changes to sell in China or Japan. Whereas the company may not have to make a lot of changes to sell in Canada.

- Some differences are due to;
 - Local tastes
 - Religion
 - Legal requirements

Understanding your market

- **Pepsi** lost market share in Southeast Asia when it changed its vending machines from deep blue to light blue.
- Light blue is a symbol of death and mourning in Southeast Asia.

OREO – different products for different markets

- OREO has lots of different types of their cookie for their various different markets
 - For example Caramel and apple is sold in the USA but not in Australia or the UK
 - Another example is the cinnamon bun flavour is sold in the USA but not Canada

KitKats – different products for different countries

- If you think KitKat made by Nestle is just a wafer bar then think again
- There have been more than 300 limited-edition seasonal and regional flavours of KitKats produced in Japan since 2000
- Highlights include; Miso soup, soy and red potato

LANGUAGE AND UNINTENDED MEANINGS

- International businesses commonly use the English language but understanding other languages makes communication easier and helps build relationships.
- Relying on one single language is risky.
- In Romania they produce a tea which is called Urinal, In Poland they have a chocolate bar called Fart

- Product names may seem perfectly OK in the home country but may mean something totally different in other countries.
- Businesses need to:
 - Use clear communication.
 - Ensure that technological communication methods such as websites are working.
 - Provide communication training to staff.
 - Avoid the use of jargon.
 - Use the most appropriate medium when communicating.
 - Eliminate distractions.
 - Have a short chain of command.

INAPPROPRIATE BRANDING AND PROMOTION

- Promotions must be adapted across different international markets in order to create a global image and become internationally recognised.
- The market /customers are important when creating marketing campaigns. If the cultural norms of the market is not considered then expansion into that region will not be successful.
- Failing to consider the market can be costly as;
 - Advertising campaigns and packaging are costly.
 - The products are unable to sell in the market.
 - In Chinese, the Kentucky Fried Chicken slogan “finger-lickin’ good” came out as “Eat your fingers off”.